

Unaudited Financial Report (Quarterly)

As on 4th Quarter (2082.03.32) of Fiscal Year 2081/82

Statement of Financial Position

(In NPR)

Particulars	Upto This Quarter Ending	Upto Previous Quarter Ending	Upto Corresponding Previous Quarter Ending
Assets			
Non-Current Assets			
Property, plant and equipment	2,894,410	2,898,910	3,245,851
Intangible assets	1,066,058,945	1,076,068,094	1,107,608,539
Total Non-Current Assets	1,068,953,355	1,078,967,003	1,110,854,390
Current Assets			
Cash and cash equivalents	2,285,909	10,407,003	1,917,332
Other current assets	96,694,439	82,955,836	94,244,007
Total Current Assets	98,980,348	93,362,840	96,161,339
Total Assets	1,167,933,703	1,172,329,843	1,207,015,729
Equity and Liabilities			
Equity			
Equity share capital	802,500,000	802,500,000	802,500,000
Retained Earnings	(159,953,639)	(157,081,457)	(184,194,205)
Total Equity	642,546,361	645,418,543	618,305,795
Liabilities			
Non-Current Liabilities			
Financial Liabilities			
Long Term Borrowing	501,707,271	523,786,837	578,702,178
Total Non-Current Liabilities	501,707,271	523,786,837	578,702,178
Current Liabilities			
Short Term Borrowing	18,399,476	-	6,794,900
Provisions	-	-	-
Other Current Liabilities	5,280,595	3,124,464	3,212,856
Total Current Liabilities	23,680,071	3,124,464	10,007,756
Total Liabilities	525,387,342	526,911,301	588,709,934
Total Equity and Liabilities	1,167,933,703	1,172,329,843	1,207,015,729

Statement of Profit or Loss

Particulars	Upto This Quarter Ending	Upto Previous Quarter Ending	Upto Corresponding Previous Quarter Ending
Revenue	161,139,303	127,924,936	162,588,580
Cost of sales	17,556,559	10,494,345	17,311,431
Gross Profit	143,582,744	117,430,591	145,277,149
Depreciation	701,957	504,514	784,405
Amortization	45,868,772	34,355,046	45,522,411
Employee Benefits Costs	14,069,792	10,746,926	12,769,084
Administrative and Other Operating Expenses	8,141,981	5,165,923	5,577,508
Profit from operation	74,800,243	66,658,183	80,623,740
Other Income	71,457	59,625	93,573
Finance Costs	47,547,282	36,521,209	67,701,125
Profit Before tax	27,324,418	30,196,599	13,016,188
Income tax Expense	-	-	-
Profit for the period	27,324,418	30,196,599	13,016,188
Other comprehensive gain/ (loss) for the year, net of tax			
Total comprehensive gain/ (loss) for the year, net of tax	27,324,418	30,196,599	13,016,188

NOTES

1) The above mentioned figure are subject to change during statutory audit of the books of accounts.

Fourth Quarter Disclosure as of 32nd Ashadh 2082 (16th July, 2025) as per Securities Registration and Issuance Regulation Annexure 14 (Related to sub-regulation 1 of regulation 26)

1) Financial Statements

- a) The financial statements for the fourth quarter have been published as a part of this report.
There have been no transactions with the related party.
b) Key Financial Ratios at the end of the quarter:

Particulars	Upto This Quarter Ending	Upto Previous Quarter Ending	Upto Corresponding Previous Quarter Ending
Earnings Per Share (EPS)	3.40	3.76	1.62
Current Ratio	4.18	29.88	9.61
Return on Assets (ROA)	2.34%	2.58%	1.08%
Networth Per Share	80.07	80.43	77.05
Price Earnings Ratio	131.22	131.62	252.78

2. Management Analysis

- a) Any changes in the stock, income and liquidity during the quarter and reason for change, if any:
Revenue from the Sale of Electricity has decreased by 0.89% compared to the corresponding previous year's quarter ending. The decrease in revenue is caused by the inability to operate one of the machine due to the breakdown of turbine shaft during the first quarter. The net profit for the fourth quarter end of FY 2081/82 has increased by 109.93% compared to the previous year's quarter ending due to an improvement in financing cost by 29.77%.
- b) The statement of management analysis on the upcoming business plan:
The company management is persistently working on improving internal control system and risk management practices.
- c) The analytical statement of the possible effect on company's profitability, stock and cashflow based on the past experience:
The company has maintained steady progress on profitability and there has been no such other incident during the period which might have negative impact on the profit or cash flow of the company.

3. Statement relating to Legal Action

During the period, there were no legal cases raised or pending against the company and from the company.

4. Analysis of the share transaction of the company

- a) During the fourth quarter, MHCL shares traded actively for 63 days till the end of Ashadh 2082.
b) The highlights of the share transactions during the quarter are as follows:

Maximum Price	543.90	Transaction Days	63
Minimum Price	417.20	Total Shares	806,560
Closing Price	446.80	No of transactions	7,814

5. Problems and Challenges

- a) Internal
- Fund management
 - Maintaining operational efficiency
 - Retention and optimization of skilled human resource.
- b) External
- Loss due to natural disaster –Flood, Earthquake, force measure issue etc.
 - Low water flow risk in the rivers for hydropower plant/projects
 - Inadequate existing transmission line
 - Lack of domestic suppliers and vendors for hydropower equipment and spare parts.
 - Inconsistent regulatory and policy level commitment from the government regulatory agencies in development of hydroelectric projects
- c) Strategies
- Development of various internal policies and procedures
 - Identification of different financial instruments along with risk assessment
 - Implementation of HR optimization plan
 - Lobbying with government authorities for investment friendly environment

6. Corporate Governance

The Board of Directors are committed to upholding good corporate governance practice in the company through implementation of policies and guidelines for proper functioning of the company. The company has been functioning in compliance with Companies act, 2063 and Corporate Governance Guidelines, 2074 issued by Security Exchange Board of Nepal.

7. Declaration of Chief Executive Officer on Truth, Tactfulness

I, the Chief Executive Officer of this Company, take responsibility for accuracy of the information and details mentioned in this report. I also declare that the information and details mentioned in this report are complete, true, based on facts and the information, details necessary for making informed decision by the investors are not concealed.